REPORT ON TITLE

Fourth and Fifth Floors, Pinnacle House, 12 Wellington Place, Leeds LS1 4AP

Prepared for	Halgarth Estates Limited (Landlord)
Prepared by	Whitfield Carter LLP (Elena Marchetti) — ref SW/EM/HAL0191
Date	6 August 2024
Title number	WYK482216 (freehold, Pinnacle House)

1. Purpose

This report summarises the Landlord's title to the Building out of which the new lease of the Property is to be granted, and identifies matters relevant to the proposed letting to Brookmere Software Limited. It is addressed to Halgarth Estates Limited and may not be relied upon by any third party.

2. The freehold title

The Landlord is registered as proprietor with title absolute of the freehold of Pinnacle House under title number WYK482216. The title was acquired by the Landlord on 14 March 2019 and there are no pending applications adverse to the Landlord's ownership.

3. Charges and incumbrances

- A registered charge dated 14 March 2019 in favour of Clydesford Bank plc secures the Landlord's acquisition facility. The Bank's consent to the grant of the lease is required and has been requested (see section 7).
- An entry noting a deed of easement (rights of light and access) in favour of the adjoining property at 14 Wellington Place — not adverse to the letting.
- Standard utility wayleaves and a transformer chamber lease to the District Network Operator at basement level.

4. Town and country planning

The Building has planning permission for office use (Use Class E). The Property has been fitted to category A. No enforcement notices are revealed by the local search.

5. Searches

A local authority search, drainage and water search and Chancel/environmental searches were carried out in July 2024. Nothing adverse was revealed save a noted highways adoption matter on Wellington Place that does not affect the Property. The environmental search returned a 'passed' result.

6. Title issues relevant to the letting

- Contracting out: the lease will be excluded from sections 24–28 LTA 1954; the statutory procedure must be completed before completion (notice + declaration).
- Insurance: the Building is insured under the Landlord's block policy with Caldervale Underwriting Limited; the Tenant reimburses a fair proportion.
- VAT: the Landlord has opted to tax (1 April 2016); VAT is chargeable on the rents.

7. Lender's consent

Clydesford Bank plc, as chargeholder, must consent to the grant of the lease. The lease is on arm's-length commercial terms at a market rent and is expected to satisfy the Bank's standard letting conditions. Consent was requested on 1 August 2024 and is awaited.

8. Conclusion and recommendation

Subject to (i) receipt of the chargeholder's consent and (ii) completion of the section 38A contracting-out procedure, the Landlord has good and marketable title to grant the proposed lease, and we recommend that the Landlord proceeds to exchange and completion in accordance with the agreed timetable.

Whitfield Carter LLP — 6 August 2024